

Draft Contract Matrix — Calibration Sample (fictional)

Project: AI-Powered Supply Chain Optimization Platform for E-commerce

Contractor: DataFlow Analytics Ltd. · **Client:** QuickShip Global

Governing law: English law · **Jurisdiction:** English courts

Client provisions vs contractor deliverables

Customer-Contractor Interface

Client Provisions / Enabling Services

- Access to fulfillment centers and operations staff.
- Historical sales and inventory data.
- Integration access to e-commerce platforms.
- User acceptance testing coordination.
- Change management support.
- Business requirements and priorities.

Contractor Deliverables

- Platform design and development.
- AI/ML model development and training.
- Integration development.
- Deployment and configuration.
- Training and documentation.
- 6-month optimization support.
- Platform maintenance and updates.

Contractor Matrix

Sub-Contractor / Supplier	Work Scope	Contract Type	Primary Dependency Inputs	Dependent Deliverables / Consumers	Integration Owner	Commercial Trigger
Cloud Platform Provider (AWS)	Hosting, compute, storage, security services, DR setup	Enterprise MSA + consumption-based SLA	Environment design from lead architect; security baseline from contractor CTO	Platform runtime for AI, APIs, dashboard; consumed by all technical workstreams	Lead Architect (Contractor)	Monthly usage billing tied to deployed workloads
Data Engineering Partner	Data ingestion pipelines, cleansing, feature store support	Fixed-price work package with milestone acceptance	Raw data access from client; schema requirements from AI/ML team	Clean training datasets for forecasting models; consumed by AI/ML workstream	Implementation Lead (Contractor)	Milestone payment on data quality thresholds
AI/ML Specialist Vendor	Forecasting model prototyping and model performance tuning	Time-and-materials capped by sprint budget	Cleansed datasets from data engineering; business constraints from product owner	Tuned models and performance reports used by core platform team	Contractor Founder/CTO	Sprint-based invoicing against approved backlog
Integration/API Specialist	Connector build for Shopify,	Fixed-price per connector +	API credentials/ endpoints from client; interface	Stable connectors consumed by order	Lead Architect (Contractor)	Payment per connector

Sub-Contractor / Supplier	Work Scope	Contract Type	Primary Dependency Inputs	Dependent Deliverables / Consumers	Integration Owner	Commercial Trigger
	WooCommerce, Amazon, WMS	support retainer	specs from architecture team	orchestration and operations dashboard		after UAT sign-off
Cybersecurity Assessment Partner	Pen-testing, vulnerability assessment, remediation verification	Fixed-fee assurance engagement	Pre-production environment from cloud provider; API surface from integration team	Security approval required before go-live; consumed by steering group for launch gate	Client CTO + Contractor CTO (Joint)	Fee on report delivery and closure validation
Training and Change Enablement Partner	Training content localization, train-the-trainer sessions, adoption support	Fixed-price training package + per-session add-on	Product release notes from scrum team; user roster from operations manager	Trained operations staff and adoption metrics for handover	Operations Manager (Client)	Payment on completion of training cohorts
Monitoring/Observability SaaS Vendor	Metrics, alerting, incident dashboards, uptime reporting	Subscription license with annual renewal	Deployment instrumentation from core engineering team	Operational KPIs for weekly working group and SLA reporting	Implementation Lead (Contractor)	Recurring subscription payment
Legal/Compliance Advisory (GDPR/AI)	DPIA support, contract clauses, AI governance review	Retainer + fixed-fee compliance review	Data flow documentation from solution teams; policy input from client legal stakeholders	Compliance sign-off enabling production release and international expansion readiness	Client CTO (with Contractor CTO consulted)	Retainer plus review completion fee

Commercial / payment terms (summary)

Commercial/Contract Model and Liquidity

- **Contract Type:** Outcome-based with equity participation.

Payment Structure

- 25% advance payment upon contract signature (£500K).
- 40% milestone payments:
- 10% upon MVP delivery (Month 3).
- 10% upon beta launch (Month 5).
- 10% upon full deployment (Month 7).
- 10% upon performance targets achieved (Month 8).
- 20% outcome-based payment: Paid based on achieved savings (inventory + shipping cost reductions).
- 5% equity participation: Contractor receives 2% equity stake in client company.
- 10% retention released after 6-month optimization period.

Outcome-Based Model

- **Savings Calculation:** Measured reduction in inventory holding costs + shipping costs vs baseline.
- **Payment Formula:** 20% of contract value x (actual savings / target savings), capped at 100%.
- **Target Savings:** £1.0M annual savings (25% inventory reduction + 15% shipping reduction).
- **Actual Savings:** £1.2M annual savings (28% inventory + 16% shipping).
- **Outcome Payment:** 100% of outcome portion (£400K) due to exceeding targets.

Equity Participation

- Contractor receives 2% equity stake (valued at £200K at contract signing).
- Aligns long-term incentives between client and contractor.
- Contractor benefits from client's growth (client scaled 600% during project).
- Equity vests over 3 years with 1-year cliff.

Liquidity Impact

- **Client:** Milestone payments aligned with development progress; outcome payment only if targets achieved.
- **Contractor:** Advance payment + milestones supported development costs; outcome payment provided bonus for exceeding targets.
- **Risk Sharing:** Outcome-based model shared risk (contractor only paid full amount if targets achieved).
- **Equity:** Long-term value creation with aligned incentives for both parties.

Commercial Model Benefits

- Aligned incentives (contractor rewarded for client success).
- Risk sharing (outcome-based payment reduces client risk).
- Flexibility (agile development with regular milestone reviews).
- Long-term partnership (equity creates ongoing relationship).
- Supported contractor liquidity (advance + regular milestones).

Legal / warranty notes (sample)

- Warranties: 6-month optimization support; 99.5% uptime SLA; performance guarantees tied to outcome metrics.
- Liability limits: £1M professional indemnity; £500K cyber; £500K errors & omissions.
- Notices: Formal notices via email; urgent issues via Slack/phone.
- Change control: Product backlog, sprint planning, steering-group approval for scope changes.
- Dispute resolution: Product Steering Group → mediation → arbitration.
- Outcome-specific: Savings calculation methodology, measurement period, payment triggers.
- Equity-specific: Valuation at signing, vesting schedule, board observer rights.